

H1 2024

Shareholder letter

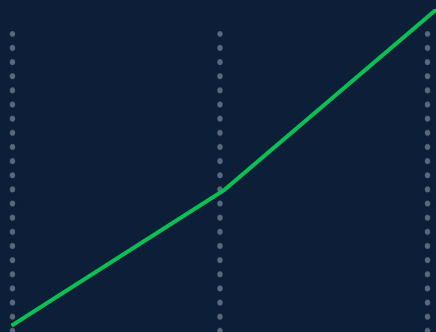


adyen

engineered
for ambition

Net revenue

H1 2022	H1 2023	H1 2024
608.5	739.1	913.4

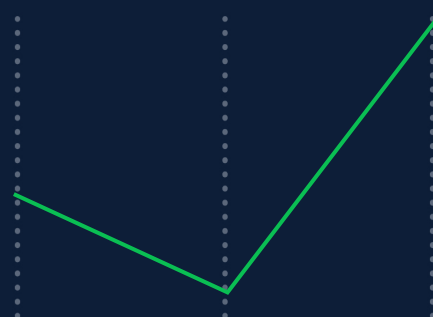


H1 ↗ 24% YOY

€ 913.4 MN

EBITDA

H1 2022	H1 2023	H1 2024
356.3	320.0	423.1



H1 ↗ 32% YOY

MARGIN 46%

€423.1 MN

We are on track with the building blocks outlined at our 2023 Investor Day

- Net revenue* growth was in line with our low-to-high twenties annual growth rate expectation up to and including 2026, landing at 24% YOY in H1 2024.
- We continued gaining market share, driven by share of wallet expansion with existing customers and new wins.
- Operating leverage in the business became visible again as our EBITDA* margin expanded to 46%, and we maintained our sustainable capital expenditure level of up to 5%.

Our addressable market continues to widen across geographies

- We made headway on our long-term investments into scaling our global acquiring capabilities, with additional licenses obtained in India and acquiring registration in Mexico.
- With our potential still largely untapped in EMEA and North America, we further realized the vast opportunity in these key regions. EMEA had 25% net revenue growth and North America was up 30%, making it again our fastest-growing region.
- We continued laying the foundation in LATAM with wins including IKEA Mexico, and we utilized our global reach to help local APAC players expand their international operations.

Our industry-leading technology secured strong commercial wins across all pillars

- We facilitated frictionless payment journeys for the world's leading digital content and subscription businesses, as demonstrated by our partnerships with Indeed and Fubo, for whom we lowered total cost of ownership.
- We enabled the most innovative Unified Commerce experiences for luxury brands including the Prada Group, as well as large-format retailers including Scheels, Crate & Barrel, CB2, and Pet Supplies Plus in the US.
- Adyen's Platforms offering empowered everyday essential industries including Vagaro in beauty, wellness, and fitness, as well as Rezkul in food and beverage (F&B).

*Refer to note 1.2 for further explanation on the non-IFRS measures reported by Adyen.

Progressing with a long-term vision along the path we outlined

Dear shareholders,

August 15, 2024

As we reflect on the first half of 2024, we are pleased to provide you with an update on how the business is progressing against our expectations, which we outlined at our 2023 Investor Day. At that time, we specified detailed building blocks for the coming three years by providing financial objectives that reflect the growth potential and operating leverage inherent to our single platform. As has always been fundamental to our way of thinking, these insights were informed by our long-term outlook, and we accordingly spent this cycle building our business guided by the decisions that benefit us over an extended horizon.

Following our latest update, this half year continued tracking in line with our expectations. In November, we highlighted that we are operating in a rapidly growing industry. Alongside our industry growth, Adyen's market share was driven by share of wallet gains with existing customers and winning new business. Our prevailing strategy centers around customer growth, which we incentivize with a tiered pricing model. This approach, paired with merchant mix impact, is why processed volumes and net revenue do not move in parallel, and why our largest volume customers do not proportionally drive net revenue. This is why we instead focus on net revenue, and manage the business on this metric. In H1, net revenue was €913.4 million, up 24% YOY.

As a result of long-term investments into scaling our global reach, we are strategically positioned to win new business and are more relevant in a broader range of regions and industries than ever before. This means our growth runway is not running out – it is further extending, with sizable opportunities in our most established markets and pillars, as well as newly emerging regions, verticals, and products. This period, Adyen's global acquiring capabilities reached new scale, as we obtained additional licenses in India and, as of July, our acquiring registration in Mexico. Our acquiring footprint is a cornerstone of our founding principle of building our platform in-house. Rather than outsourcing our capabilities, we seek to retain end-to-end control of our platform to ensure the highest standards of reliability and scalability, and to remove third-party dependencies wherever possible.

This tactic requires long-term thinking and discipline. For reference, our newly obtained India acquiring capabilities – with which we can operate as an Online Payment Aggregator in India for domestic and cross-border payments – were many years in the making. Meanwhile, we made additional strides in APAC this cycle, which grew 15% YOY, with notable wins including MECCA, Australia's largest prestige beauty retailer, and



Decathlon, one of the world's largest sports goods companies, in Hong Kong. We also utilized our global reach to help local players grow outside of APAC, which further supported our reported growth numbers in other regions. We remain well-positioned in Japan, where incoming 3DS regulation requiring more stringent authentication mirrors similar laws being enacted around the world. Adyen is an industry leader in handling regulatory fragmentation, as demonstrated with PSD2 in Europe, for which we ensure data sharing, fraud prevention, authentication, transaction, and accessibility compliance – alleviating the accompanying operational burden for our customers along the way.

Our growing license portfolio is an advantage that unlocks exciting opportunities for us to work more directly with global enterprises expanding into high-potential regions. Adyen's ongoing investments in LATAM follow this ethos. Though the foundation is being laid brick by brick, we are actively committing to countries like Mexico and Brazil by equipping ourselves with licensing that enables us to participate and grow in the region for the long-term. Receiving our acquiring registration in Mexico means we can better connect businesses to key domestic and international banks, and facilitate card payments with greater speed and insights – an ability that helped us win IKEA Mexico this period. In the coming years, Adyen's recent investments into our local acquiring and product capabilities should position us well to further permeate the region after a few slower growth periods in Brazil. Though there is work to be done, we remain confident and look forward to deepening our ties within LATAM's financial ecosystem as we drive local innovation and support global customers in this key market.

Yet, even in geographies where our presence is more mature, we similarly see ourselves in the earliest stages of what we aim to achieve. With only single-digit market share in EMEA and North America, there remains extensive ground for us to cover and capitalize on. In H1, we further realized our vast opportunity in these key regions with 25% YOY net revenue growth in EMEA, and commercial wins including Douglas and Tide. North America, meanwhile, grew 30% YOY, making it our fastest-growing region once again. We continued to win and expand with domestic, household-name Unified Commerce customers here including Scheels, Crate & Barrel, CB2, Pet Supplies Plus, and Reitmans, for whom we will provide our suite of services, including e-commerce and in-person payments at their brick-and-mortar locations. As we double-down on our activities in the region, we are propelling our ongoing investments into improving our US Debit capabilities. Furthermore, with our strong momentum in North America, we solidified our local presence with new office spaces in both San Francisco and Toronto, which will host our larger team resulting from our two-year, accelerated hiring phase.

We win where our customers win. While our global presence and licensing capabilities set us apart, they are not the only enablers of our customers' ambitions. We are also committed to remaining in the technological lead – a pursuit that requires a delicate balance of both reliability and innovation. To promote both tenets, one of Adyen's focus areas is our platform intelligence, which runs on advanced machine learning. Every transaction we process informs our platform, acting in real time using models we train and deploy on our self-hosted, big data engine. This is a useful way to think



about the volumes we process. While the processed volume metric is not what we run the business on, we acutely understand the underlying value of the information transactions contain. This is why our product offering strengthens as it scales – we have created a network effect. Data enables our technology to continually refine its ability to combat fraud, authenticate users, maximize successful payment completion, and ultimately save our customers' costs. We also use data to sharpen our performance using A/B testing on an ongoing basis.

Over the past year, cost optimization was one of the primary needs of our customers. Given Adyen's services are typically just a fraction of the overall costs businesses incur when transacting payments – which include variable and fixed scheme fees as well as interchange fees – we have the opportunity to help our customers lower their total cost of ownership (TCO), while also providing industry-leading experiences for businesses and their end consumers alike. This commitment and capability is a prevailing asset in the outsized value we provide our customers, and substantiates our premium offering.

One way we work to meet our customers' TCO needs is by leveraging our AI and machine learning capabilities to find optimal avenues to lower the overall cost of a transaction. Drawing from one example from this period, Fubo, a leading sports-first live TV streaming platform, utilized our Digital offering to optimize their TCO. Our RevenueProtect technology better armored their business against fraud, thus reducing chargebacks. Additionally, we used network tokens to better authorize online and recurring payments, driving significant conversion. Fubo's authorization rate has improved 1.5% since working with Adyen.

Our partnership with Indeed is another compelling example of how we drive cost savings for our customers. By conducting extensive analysis into their prior interchange and scheme fee setup, we identified a needle-moving optimization that ultimately helped Indeed exceed their annual cost reduction target by 40%. Our ability to address TCO was further demonstrated in our Unified Commerce pillar. This period, we partnered with Belmond Hotels, a leader in luxury hospitality, and demonstrated how improved TCO and sophisticated experiences can go hand-in-hand. The ability to simultaneously improve both objectives sets us apart: with Adyen, customers do not have to choose between finding avenues for cost-saving or elevating the quality of their back and front-end standards. We partner to enable both. Working with Adyen, Belmond Hotels has improved their full-funnel conversion rate to above 90% across their properties.

When laying out our more detailed expectations in November, we also foresaw benefiting from Adyen's inherent operating leverage as our accelerated hiring phase began to temper. For H1 2024, EBITDA margin showed YOY expansion, with operating leverage already visible, predominantly stemming from this period's cooled hiring pace as well as fewer one-off operational expenses. This period, EBITDA margin landed at 46%, compared to 43% in H1 2023. Thus far, we have hired 37 net-new team members in H1, and expect to bring on the remaining new joiners within our couple of hundred estimate in the second half of the year, while we continue to focus on meeting our high talent standards.



As we look ahead to H2, we feel strongly positioned to continue executing on the expectations we detailed when we came together at our Investor Day in San Francisco. The building blocks we outlined in November remain intact. We aim to grow net revenue annually between the low-twenties and high-twenties percent up to and including 2026. For 2024, we continue to expect to be towards the low end of this range. We aim to improve EBITDA margin to levels above 50% in 2026, and expect to benefit from the operating leverage inherent in our business model. Finally, we aim to maintain a sustainable capital expenditure level of up to 5% of our net revenue, as we did this period, landing at 4.6%.

This is the path we outlined and we're proud to be progressing on it as planned.



Commercial success driven by our global reach, local expertise, and technical advantage

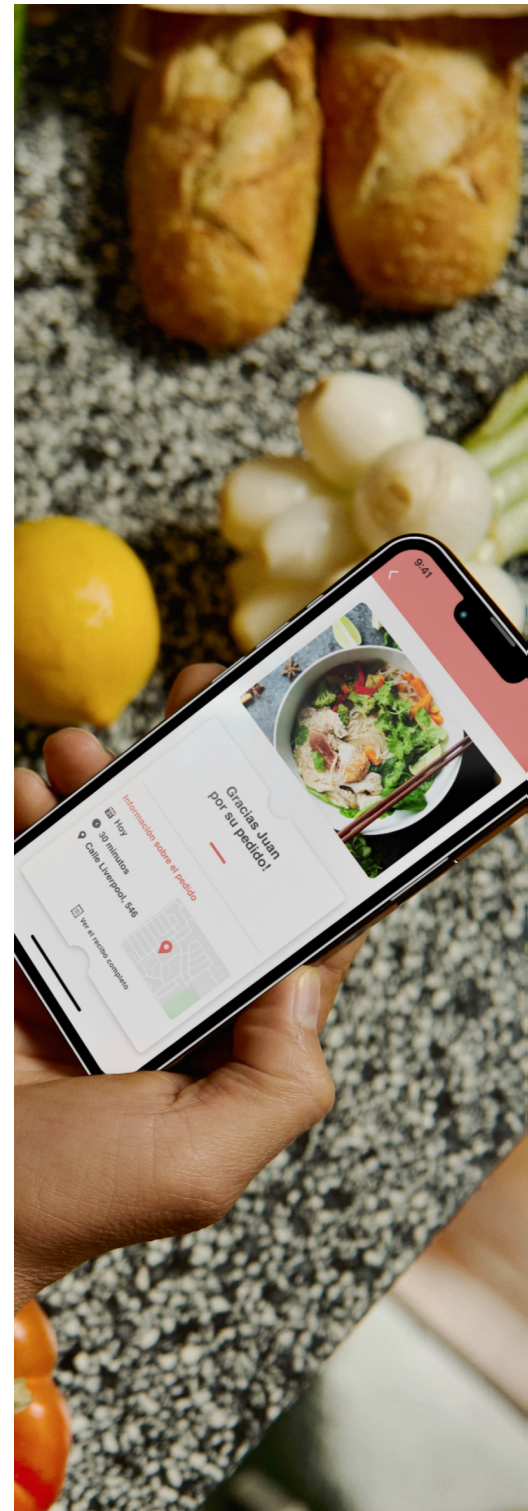
Digital

As our original and longest-standing offering, Adyen's Digital payments pillar is forging ahead as a business driver with persisting market appeal. This was demonstrated by Digital volumes growing 50% YOY. Our enterprise-ready solution is supported by global acquiring licenses, intelligent debit routing capabilities, and our advanced authentication engine. We also offer an array of LPMs and settlement currencies through our single integration. This period, the appetite for our Digital product was underscored as Adyen solidified its position as the partner of choice for digital content and subscription businesses.

Throughout 2020 and 2021, digital content and subscription companies – which span the spectrum of streaming, gaming, social media, online dating, and beyond – turned to Adyen to capture the world's increased screen-time and the rapid adoption spike of services like food and household goods delivery. However, in the years since, digital-first businesses have been faced with the challenge of converting, retaining, and continuing to meet the preferences of online users amid ever-growing competition. In an age of insatiable content hunger, reduced attention span, and demands for speed, convenience, and personalization, Adyen's technology is designed to tackle this range of complexities. These advantages to working with Adyen make us the partner of choice for the world's leading digital content companies.

One of the primary blockers our Digital customers face in retaining end-users is the moment when a card on file expires or contains insufficient funds, particularly as it pertains to subscription-model businesses. Our Real Time Account Updater ensures the most up-to-date card details are used for recurring and card-on-file payments. It continuously scans for updated card details ranging from changes in expiration dates, card numbers, direct debit status, and even lost or stolen notices. Keeping card details up to date ensures every billing cycle uses the most current payment data, has higher authorization rates, and sees less monthly churn.

If a charge attempt is declined, Adyen helps ensure uninterrupted continuity. Our systems intelligently decide when would be the optimal retry time – improving the user experience while also optimizing for successful payment. For example, we may attempt at a date that affords time for the



account's funds to refill. Factors such as the region and day of the month can have a significant impact on transaction success rates. Looking at the US, most users are paid bi-weekly, typically on a Friday, with an uplift in successful payments realized at the beginning and middle of each month. By analyzing transaction success rates across individual markets, we make data-driven decisions about optimal times to bill users – including when to recover lost revenue – to ultimately drive conversion and reduce our customers' insufficient funds volume.

With built-in flexibility, agility, and security, Adyen's local payment methods (LPMs) unlock further ease of access and help convert users. Millions of consumers must be able to pay exactly as they want, no matter where they are in the world and what currency they're native to. Digital expectations are at an all-time high, with our most recent Retail Report finding that 55% of consumers abandon an online cart if they are unable to pay using their preferred method. In North America, the UK, and Australia, the majority of transactions are executed by credit card. Bank payments, on the other hand, account for a significant market share in Austria and the Netherlands. By supporting a wide variety of payment methods, Adyen not only makes it easier for users to sign up, but also drives conversion for seamless in-app purchases – a behavior we commonly see in gaming, dating, and social media. We again saw the overwhelming majority of our top 100 Digital customers utilizing LPMs this period.

Top 100 Digital customers using local payment methods

Using LPMs

91%

Beyond catering to diverse consumer preferences, LPMs serve an important purpose in optimizing costs – a topic we continued discussing in conversations with our customers in H1. With LPMs comprising just one part of our overall cost-saving capabilities, Adyen is highly proficient in simultaneously lowering TCO and improving performance – an ability that further underpins our premium offering. To cite one example, iFood, one of the largest digital players in Latin America, is a customer success story that reinforces the core strength of Adyen's value proposition. As a company leader in the food delivery market in Brazil, iFood requires the highest level of platform reliability. After A/B testing providers, Adyen displayed such significant outperformance and superior TCO that we improved our share of wallet this year. Together, we are showing that lowering TCO does not mean sacrificing technical and operational excellence. We look forward to continuing this valued, long-standing relationship and enabling iFood's ambitions as they launch new projects and further expand.

The Digital space remains ripe for innovation. This period, we further invested in improving our US Debit capabilities as a burgeoning part of our offering. In the US, debit cards issued by the major card schemes are required to be processed by two independent networks, with the cost of their conducted transactions often driven higher as a result of premium

NETFLIX

indeed

iFood



MercadoCAR

fubo

interchange and scheme fees. Adyen, meanwhile, helps our customers benefit from the multiple alternative debit networks available by optimizing for more competitive conversion and rates. Using intelligent payment routing, we send transactions to the debit network with the lowest cost, without compromising on authentication rates. We have many customers already live with US Debit and benefiting from lowered TCO, and we expect this group to grow as we further invest in the product.

Meanwhile, as mentioned earlier in this letter, an underlying global trend working in our favor in our Digital pillar is increasingly demanding industry regulation. Moving forward, it will not only be a battle of the most technologically fit, but also the most regulatory fit. We already power many of the largest digital content and subscription companies in the world for this reason: our technology was meticulously architected to suit companies with international user bases. Drawing from our experience navigating the European landscape – where we help enterprises remain compliant in data sharing, fraud prevention, authentication, transaction, and accessibility – we are applying these learnings to other advancing models and regions. For example, when we look at digital content and subscription companies, Adyen can also solve the nuances associated with cross-border data collection, creative assets, licensing, and listening laws.

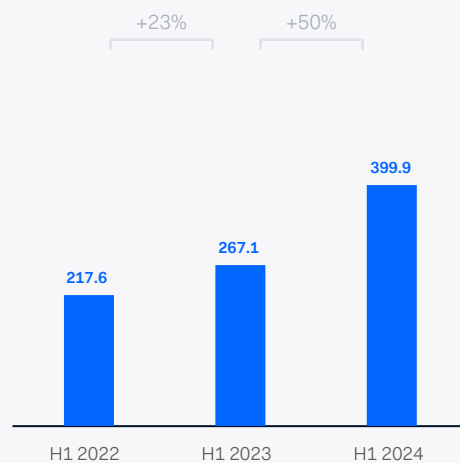


Figure 1

Digital: Processed volumes (in billion euros) of non-platform merchants that process over 99.5% of their volumes online.

Unified Commerce

And yet, nowhere is innovation more pervasive than in our Unified Commerce offering, which saw volumes up 29% YOY and point-of-sale volumes up 32% YOY. This period, we enabled the most sophisticated journeys for fluidly integrated online and offline experiences. On the product side, we were pleased to facilitate interesting use cases of autonomous shopping. At autonomous stores – which span traditional retail to live entertainment venues – consumers can tap their card or mobile wallet at an Adyen payment terminal upon entry to pre-authorize upcoming spending. Shoppers are then free to leave the autonomous store with their items – whether that be merchandise, food, or drinks – without gesturing to pay. By removing the need to queue, use self-checkout, or be rung up by a cashier, autonomous stores help extend a location's opening hours, reduce theft, optimize staffing, and more. This development marks an exciting step in the futuristic experiences we are partnering to power.

H1 was another period of expansion for our Tap to Pay on iPhone (TTPOI) technology, which was rolled out to Italy, Germany, and Canada. With only a mobile device and a supported iOS app, our TTPOI technology empowers businesses to securely accept in-person forms of contactless payments, including contactless credit and debit cards, Apple Pay, and other digital wallets. This reduces dependency on additional hardware including payment terminals. It also opens new possibilities for location layouts – imagine stores without cash register desks; consumers who can pay wherever they are without needing to queue; and re-thinking staffing needs. Once again, there are opportunities to reduce TCO via this consolidated touchpoint.

Number of Unified Commerce customers processing across channels at scale¹

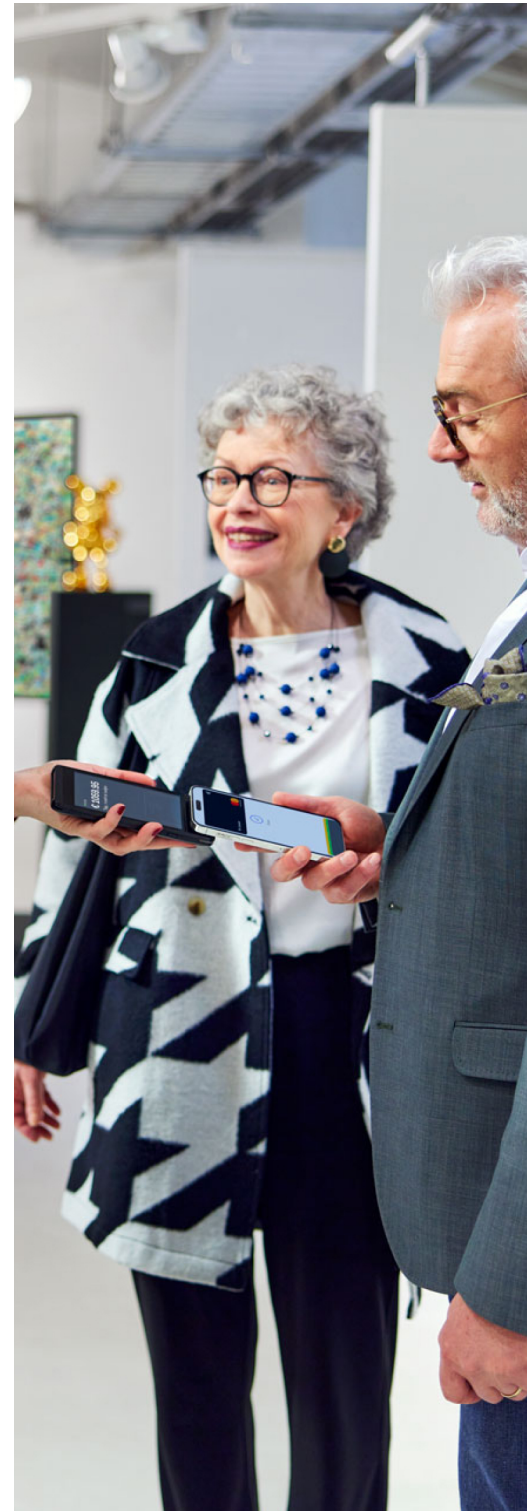
H1 2024

YOY

357 **↗63**

Looking at our Unified Commerce solution, it was promising to see the number of customers we have processing across channels at scale not only growing, but also becoming more diverse. When we look at this pillar's vertical developments, hospitality was the fastest-growing, up 55% YOY. Back-end fragmentation can cause this industry more operational challenges and costs, as well as increased risk of information loss. Guests may experience inconsistent journeys within the same hotel chain, for example, depending on where or through which channel they book. Our solution solves this problem by consolidating all touchpoints in a single view. Hotels can use our real-time payment data to gain insights into where guests are coming from, how they want to pay, how much they are spending, and why they are visiting, for example, if a business stay is paid for with a corporate card. Our data-rich view helps hotels personalize offers

¹ Defined as the number of merchants processing at least €10 million on both POS and eCommerce, with over €50 million in total processed volume in the last 12 months.



or use cross-selling strategies, whether that be upgrading a room and providing transport, or ensuring personal preferences are remembered from past bookings.

Another area of rapid growth within Unified Commerce was large-format retail. This period saw us further diversify our retail portfolio, which reflects a more balanced customer mix each cycle. Looking at this segment of retailers, we were pleased to sign household names in North America including Scheels, Crate & Barrel, CB2, and Reitmans. This is significant and worth calling out: Adyen is landing some of the largest domestic businesses. Around the world, we had a similar market resonance. In LATAM, we achieved wins like MercadoCar, an auto parts store, and IKEA Mexico. We also partnered with a leading beauty supply store, Douglas, in EMEA. Our ability to permeate household, pet, sport, and beyond is a notable indication that large-format and everyday retailers are increasingly innovating their consumer journeys, and that Adyen is able to compete with local incumbents to realize their ambitions.

On the luxury end of our Unified Commerce developments, H1 saw us expand our partnership with the Prada Group. Partnering with the highest echelon of luxury brands serves as a seal of approval on our ability to create the most seamless, bespoke, and advanced shopper experiences. With Adyen's single financial technology platform, brands can maximize the available cross-channel transaction data at their disposal. Our consolidated view of their consumers empowers retailers to customize each interaction – whether they occur online, in store, or on any other touchpoint – and build loyalty in the process. This is particularly relevant given 540 of our Unified Commerce customers process in multiple regions. The deep and fully global understanding we provide enables journeys that are highly tailored to individual preferences, which is core to the luxury consumer's expectations.

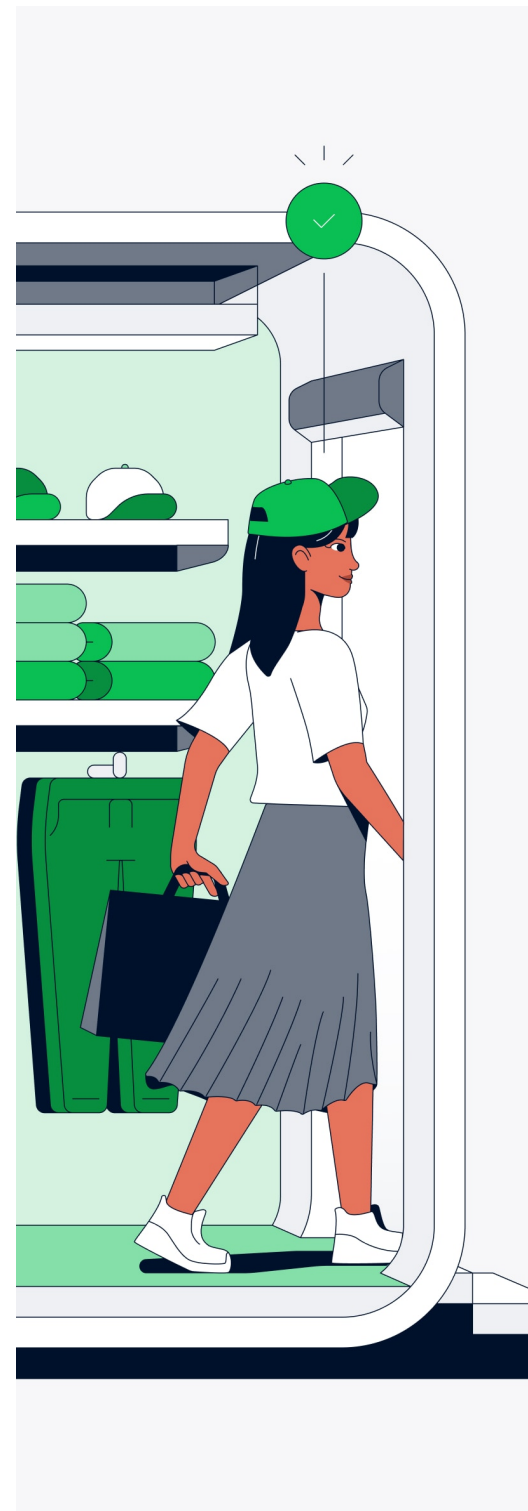
Number of Unified Commerce customers processing in multiple regions

H1 2024

YOY

540 **↗79**

Finally, our Unified Commerce pillar showed its distinctive value in bringing cutting-edge technology to a range of in-person experiences. On the global events side, we signed a new partnership with the Brazilian soccer club, Botafogo, which will see us transform the payment experiences of their global fandom. Consumers will be able to smoothly buy food, beverages, and merchandise at stadiums, enroll in club memberships, and purchase tickets both online and in person. In other interesting Unified Commerce use cases, we are now working with Ventrata, a market-leading ticketing solution, to improve the ticket-purchasing experience for visitors to iconic sites like the Empire State Building, and were able to extend our digital offering to the BMW Group for utilization with their POS at the BMW Welt and BMW Museums.



Number of transacting Unified Commerce terminals

H1 2024

YOY

292k ↗60k

Validating our Unified Commerce strengths, we were pleased to be named the leader in the IDC MarketScape: Worldwide Retail Omnichannel Payment Platform Software Providers 2024 Vendor Assessment, and recognized for our comprehensive solution, innovation, and customer focus.

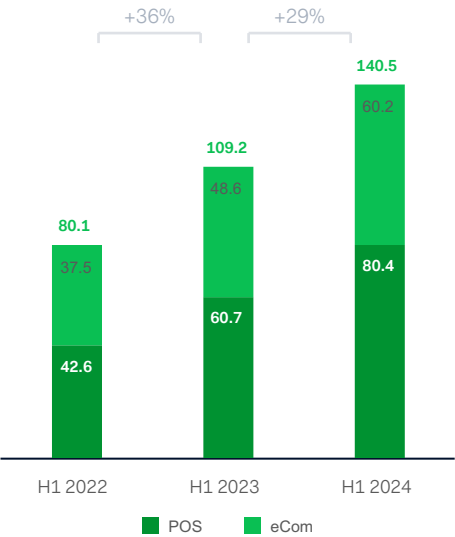


Figure 2

Unified Commerce: Processed volumes (in billion euros) of non-platform merchants processing at least 0.5% of their volumes via point-of-sale.

DOUGLAS

SCHEELS
EMPLOYEE OWNED

BELMOND

Reitmans

sumup®

LE CREUSET®

HEYTEA 喜茶



Platforms

Adyen for Platforms (AfP) is our end-to-end solution for software platforms and marketplaces. With AfP, platform users can sign up, sell, and get paid all in a single destination. We handle the heavy lifting of onboarding users, contractors, and businesses onto the platform, and ensure they are verified before conducting pay-out. Adyen acts as an invaluable resource by identifying fraudulent behavior, stopping suspicious payouts, and flagging unusual activities across vast user bases. With enterprise platforms working with, in many cases, thousands of users – this half, we serviced a total of 104k platform business customers² – Adyen's impact in the SMB market is becoming increasingly pertinent.

² Defined as end-customers eligible to adopt an embedded financial product.

Number of Platform business customers serviced

H1 2024

YOY

104k **↗55k**

Throughout H1, our AfP commercial wins reflected a clear theme: do not underestimate the reach and depth of SaaS platforms. From our vantage, the adage that all companies will eventually become software companies may require a slight edit. Rather, we are observing that every company will eventually run on an industry-specific software company. Indeed, we continue to see more platforms emerging with increasing vertical focus and specialization, then broadening their user bases within these (often hyper) niches.

This period alone, we partnered with companies like Vagaro in beauty, wellness, and fitness, as well as salon software, Salonized. By working with Adyen, SaaS platforms can extend our enterprise-grade capabilities to small businesses from all industries, increasing stickiness and enabling them to service their end-consumers at the most professional level, no matter the medium. As just one embodiment of SMBs taking advantage of our AfP solution, this period, we were pleased to have 165k transacting Platform terminals in operation.

Number of transacting Platform terminals

H1 2024

YOY

165k **↗79k**

Looking at vertical contributors, our Platforms pillar saw the most growth in food and beverage (F&B). Built with franchisees, franchisors, delivery services, and restaurants in mind, AfP holds a clear industry fit thanks to our easy terminal rollouts, consolidated payments across sales channels, and fast payouts. Our single back-end view helps F&B businesses cut down on the fees, contracts, and partners associated with a decentralized approach. Within our dedicated dashboard, our F&B customers can see daily sales and payouts, automate reconciliation, and manage chargebacks – observing performance across locations. As one example of our F&B market fit, this period we partnered with Rezku, an advanced software solution for restaurants facilitating POS, restaurant reservations, iOS POS, reservation systems, and waitlist apps.

This half also saw us expand our relationship with Epos Now, a leading global SaaS platform in the retail, hospitality, and F&B industries offering SMBs embedded payments and POS systems that streamline their operations. Working with Adyen, Epos Now has integrated more comprehensive financial services in order to offer its SMB users a wider range of financial products, including business accounts, cards, and cash advances. As of H1, Epos Now's full suite of embedded financial products is



live, with business accounts and issuing in the UK as well as Capital in the UK, US, and Australia.

Running in parallel with our ability to serve increasingly vertical-focused SaaS platforms, Adyen is ideally positioned to enable the advancement of more traditional business models looking to digitalize. Across the insurance and healthcare industries, our Platforms solution offers a forerunning value proposition. While these financial flows are historically clunky, Adyen has long demonstrated how we can streamline them for even the most complex company frameworks, their sub-merchants, and end-users alike. Our global licenses make us a trusted and thoroughly vetted choice, able to comply with nuanced data collection and medical regulation, and provide bespoke solutions per market. We also satisfy end-consumer demand for immediate payments and real-time, digital overviews, which are capabilities already built into our banking-as-a-service products.

While it will take time for traditional industries to fully digitalize, we again take a long-term view. By getting in early and positioning ourselves as the obvious choice, we are poised to partner with the most innovation-focused legacy companies.

Number of Platform customers processing over €1 billion

H1 2024

YOY

22

↗7

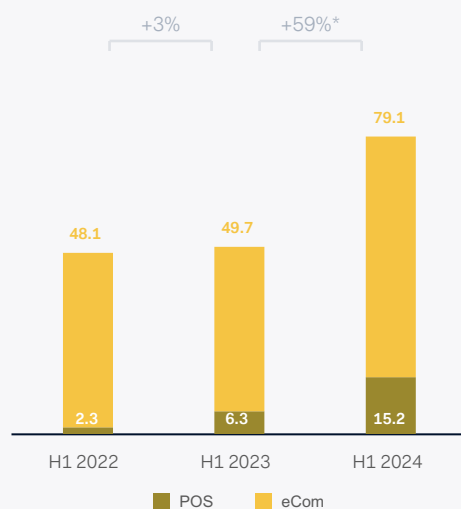


Figure 3

Platforms: Processed volumes (in billion euros) of customers processing at least 50% of their volumes via Adyen for Platforms.

*Excluding eBay volumes, Platforms volume growth would have been 91% YOY

Cooled hiring as we ramp our significantly scaled, global team

H1 marked the first period with our significantly scaled, global team in place. We hired 37 net-new joiners this period, with the majority located in North America in tech and commercial roles. While we ramp the many new people brought on over the past two years, we remain committed to preserving our unique company culture. Our dedication to keeping Adyen's Formula alive was reflected when we came together this June for our global company event as a team of 4,233 FTE. Here, we spent time face-to-face seeking out different perspectives to sharpen our ideas. While together with team members from across our 28 offices, we aligned on our vision for the future and discussed how our long-held values are translating today.

One of the ways we embody our Formula is in our approach to sustainability, as we make good decisions and consider the long-term benefits for our customers, Adyen, and the world at large. We look forward to sharing further insights in our upcoming 2024 Annual Report, which will dive into our identified material topics as part of the Corporate Sustainability Reporting Directive (CSRD).

Another long-held formula point – that we launch fast and iterate – is reflected in our ways of working. Internally, our current focus on automation is to reduce administrative tasks, thus freeing our people to spend time on the most inspiring and impactful projects. This helps keep our talented team lean, engaged, and effective. Our automation approach involves collaborating and contributing to the OpenSource community, while also developing dedicated learning and development (L&D) resources for our engineering domain. While scaling our engineering force this half, we were pleased to open our APAC Tech Hub in Bengaluru. We have now hired the first leadership and tech roles based there, who will utilize our newly granted license to help realize our local opportunity.

We have been selective about the hires made thus far in 2024, but remain focused on growing the key investment areas we identified for the businesses. While this year's hiring is weighted towards the second half, it is far less than the number of people we recruited during our two-year, accelerated hiring phase. Our recruitment team is therefore comfortable with this rate and has repeatedly proven capable of maintaining quality even at a higher quantity. It is worth mentioning that we do not set hiring targets, and will not fill roles for the sake of meeting a quota. This is because, as always, we are simultaneously ensuring our existing and new hires are up to our standards. This is part of our long-term commitment to excellence and ensuring our team is capable of achieving our ambitions, which we feel well on our way towards.



Total FTEs: 4,233



North America

	H2 2023	H1 2024
San Francisco	299	295
New York	186	198
Chicago	155	188
Toronto	26	28

Latin America

	H2 2023	H1 2024
São Paulo	170	164
São José	39	48
Mexico City	27	26

Europe, Middle East & Africa

	H2 2023	H1 2024
Amsterdam	2,326	2,295
London	133	134
Madrid	133	138
Paris	96	96
Berlin	91	97
Stockholm	76	84
Milan	32	35
Dubai	27	24
Munich	21	19
Warsaw	18	18
Brussels	15	14
Manchester	14	14

Asia-Pacific

	H2 2023	H1 2024
Singapore	165	159
Sydney	53	49
Shanghai	36	43
Tokyo	33	38
Mumbai	12	11
Hong Kong	9	9
Kuala Lumpur	3	4
Bengaluru	0	4
Melbourne	1	1

Discussion of financial results

Net revenue in line with our low-to-high twenties annual growth rate expectation

Net revenue was €913.4 million in H1 2024, up 24% YOY. The majority of our net revenue was driven by growth with our existing customers once again. We continued to gain market share driven by both share of wallet expansion with existing customers and new wins. Net Revenue includes €2.5 million of net interest income relating to our Embedded Financial Products (EFP) suite.

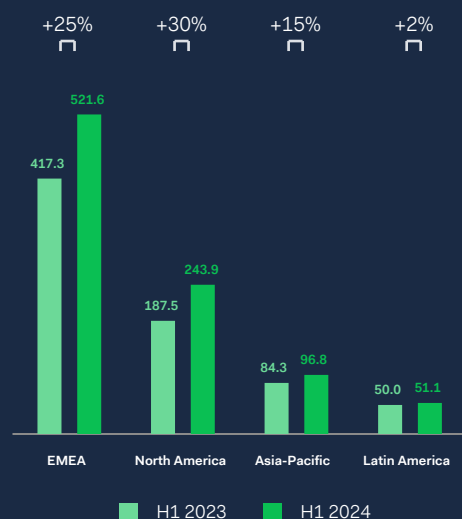
Take rate decreased from last period, landing at 14.7 bps in H1 2024, compared to 16.3 bps in H2 2023 and 17.3 bps in H1 2023, driven primarily by merchant mix impacts.

Net revenue contributions remained consistent YOY, with EMEA contributing (57%), followed by North America (27%), APAC at (11%), and LATAM landing at (6%).

North America was the fastest growing (up 30% YOY), followed by EMEA (up 25% YOY), APAC (up 15% YOY), and LATAM (up 2% YOY). We see sizeable opportunity in the markets where our presence is well established, as well as the regions where we are more newly emerging. We are only at the outset of what we plan to achieve.

Figure 4

Net revenue per region (in EUR millions)³



³ On a constant currency basis, net revenue growth would have also been 24%. Please refer to Note 1 of the Interim Condensed Consolidated Financial Statements for further detail on revenue breakdown.

Processed volume growth primarily driven by customers already on the platform

We processed €619.5 billion during H1 2024, up 45% YOY. Our prevailing strategy centers on customer growth, which we incentivize with a tiered pricing model. This approach is why processed volumes and net revenue do not move in parallel, and why our largest volume customers do not proportionally drive net revenue.

Within our commercial pillars, Digital – the largest base we are building upon – showed persisting appeal, particularly in North America. Digital's product relevance was reflected in our volumes demonstrating strong growth. In H1, they contributed €399.9 billion and made up 65% of total processed volumes, growing 50% YOY.

Our Unified Commerce volumes spanned increasingly diverse industries, amounting to €140.5 billion in H1 and growing 29% YOY. Unified Commerce volumes comprised 23% of processed volume.

Platforms volumes were €79.1 billion in H1, making up 13% of total processed volume and growing 59% YOY, making it again our fastest growing pillar. Excluding eBay, Platforms volume growth was 91% in H1.

Point-of-sale volumes were €95.6 billion, making up 15% of total processed volumes and outpacing overall business growth at 43% YOY⁴. This growth rate underscores the need for innovation in multi-channel experiences across industries, and the rapid pace at which in-person payment journeys are advancing.

Full-stack volumes amounted to 82% of our processed volumes, up from 79% in H1 2023, which aligns with our strategy of selling our full-stack capabilities in order to best unlock value for our customers.

⁴ These volumes reflect volumes from both our Unified Commerce pillar wherein enterprise customers integrate to our offering directly, and volumes from our Platform pillar wherein SMBs access our Unified Commerce technology via platform businesses.

Operating expenses reflect investments in our newly scaled, global team and data centers

Operating expenses were €538.3 million in H1 2024, up 19% from H1 2023.

Employee benefits were €347.5 million in H1 2024, up 22% YOY. This figure reflects the annualization of hires made in 2023, and our continued investment in scaling the Adyen team. People remain our primary means of investing in the long-term success of our single platform. As we grow, we are committed to maintaining our unique company culture and upholding our high talent standards, including within our existing team.

IT costs totalled €22.4 million in H1 2024, up 19% YOY, mainly driven by costs related to our data centers and investment in IT related equipment.

In other operating expenses, we remain committed to pledging 1% of our net revenue to initiatives that support the UN SDGs.



EBITDA margin reflects tempered hiring following two-year investment phase

EBITDA was €423.1 million in H1 2024, up 32% from €320.0 million in H1 2023. EBITDA margin was 46% in H1 2024, compared to 43% in H1 2023. EBITDA margin has started to expand year over year, with operating leverage visible, predominantly stemming from this period's cooled hiring pace as well as fewer one-off operational expenses.

Net income

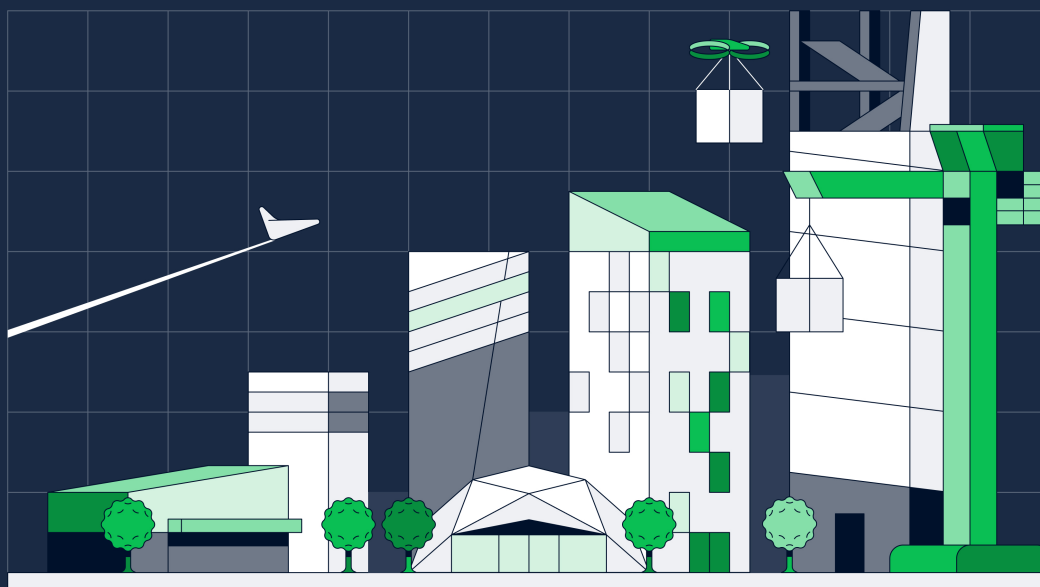
Net income was €409.6 million for the period, up 45% YOY. The increase in finance income is driven by a relatively higher interest rate environment and an increase in average overnight deposits held at "Cash held at central banks" and "Cash held at banks, other than central banks" compared to H1 2023.

CapEx in-line with sustainable level

CapEx⁵ was €42.3 million, and 4.6% of net revenue, down from 7.6% of net revenue in H1 2023. We aim to maintain a sustainable capital expenditure level of up to 5% of our net revenue, as we did this period.

Robust free cash flow conversion

Free cash flow⁵ was €360.6 million in H1 2024, up 46% YOY. Free cash flow conversion ratio⁵ was 85%.



⁵ Refer to note 1.2 for further explanation on the non-IFRS measures reported by Adyen.

Financial objectives

We did not see any business developments in the first half of 2024 that would lead us to update our guidance. Our standing financial objectives therefore remain unchanged.

Net revenue growth: We aim to continue to grow net revenue annually between the low-twenties and high-twenties percent, up to and including 2026.

EBITDA margin: We aim to improve EBITDA margin to levels above 50% in 2026, as we expect to benefit from operating leverage inherent to our business model.

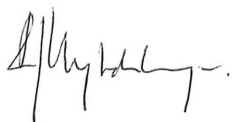
Capital expenditure: We aim to maintain a sustainable capital expenditure level of up to 5% of our net revenue.

We will be broadcasting a live video conference hosted by Ingo Uytdehaage (Co-CEO) and Ethan Tandowsky (CFO) to discuss these results at 3PM CEST today, August 15th. You can follow the livestream at www.adyen.com/ir. A recording will be made available on our investor relations website following the call.

Sincerely,



P.W. van der Does
Co-founder and Co-CEO



I.J. Uytdehaage
Co-CEO



E. L. Tandowsky
CFO

**Interim Condensed Consolidated
Financial Statements
H1 2024 Adyen N.V.**

Consolidated statement of comprehensive income

For the periods ended June 30, 2024 and 2023

(all amounts are in EUR thousands unless otherwise stated)

	Note	H1 2024	H1 2023
Non-interest revenue	1	1,029,090	853,550
Costs incurred from financial institutions	1	(68,843)	(74,409)
Costs of goods sold	1	(49,396)	(40,034)
<i>Net non-interest revenue</i>		<i>910,851</i>	<i>739,107</i>
Interest income	1	13,159	—
Interest expense	1	(10,630)	—
<i>Net interest income</i>		<i>2,529</i>	<i>—</i>
Net revenue		913,380	739,107
Wages and salaries	3	(298,481)	(247,310)
Social securities and pension costs	3	(49,012)	(38,638)
Amortization and depreciation	11,12	(49,243)	(40,924)
Other operating expenses	4	(141,603)	(126,076)
Other expenses	2	(1,161)	(7,066)
Income before net finance income and income taxes		373,880	279,093
Finance income	9	176,846	93,408
Finance expense		(3,256)	(2,291)
Other financial results	5	(5,899)	2,808
Net finance income		167,691	93,925
<i>Income before income taxes</i>		<i>541,571</i>	<i>373,018</i>
Income taxes	6	(131,957)	(90,845)
Net income for the period		409,614	282,173
<i>Net income attributable to owners of Adyen N.V.</i>		<i>409,614</i>	<i>282,173</i>
<i>Other comprehensive income</i>			
Items that may be reclassified to profit or loss:			
Currency translation adjustments subsidiaries		(3,326)	3,192
<i>Other comprehensive income for the period</i>		<i>(3,326)</i>	<i>3,192</i>
Total comprehensive income for the period (attributable to owners of Adyen N.V.)		406,288	285,365
Earnings per share (in EUR)			
Net profit per share - Basic	13	13.19	9.10
Net profit per share - Diluted	13	13.15	9.07

The accompanying notes are an integral part of these interim condensed consolidated financial statements.

Consolidated balance sheet

As at June 30, 2024 and December 31, 2023

(all amounts are in EUR thousands unless otherwise stated)

	Note	June 30, 2024	December 31, 2023
Intangible assets		8,667	8,757
Plant and equipment	11	180,154	165,136
Right-of-use assets	12	206,885	199,663
Other financial assets at FVPL	10	15,260	14,821
Contract assets	1.3	13,278	24,195
Deferred tax assets	6	105,176	112,679
Total non-current assets		529,420	525,251
Inventories	2	87,171	104,502
Receivables from merchants and financial institutions		549,790	490,052
Trade and other receivables		149,570	134,274
Current income tax receivables	6	9,098	7,310
Other financial assets at amortized cost	10	19,667	—
Cash and cash equivalents	9	8,735,272	8,306,982
Total current assets		9,550,568	9,043,120
Total assets		10,079,988	9,568,371
Share capital	7	311	310
Share premium	7	417,923	390,043
Other reserves		152,195	159,232
Retained earnings		3,005,348	2,601,282
Total equity attributable to owners of Adyen N.V.		3,575,777	3,150,867
Derivative liabilities	10	1,424	1,400
Deferred tax liabilities	6	2,600	6,455
Lease liability	12	179,768	172,397
Cash-settled share-based payment plan		1,623	1,563
Total non-current liabilities		185,415	181,815
Payables to merchants and financial institutions		6,024,817	5,953,563
Trade and other payables		186,649	168,397
Lease liability	12	51,881	50,666
Current income tax payables	6	55,449	63,063
Total current liabilities		6,318,796	6,235,689
Total liabilities and equity		10,079,988	9,568,371

The accompanying notes are an integral part of these condensed consolidated financial statements.

Consolidated statement of changes in equity

For the periods ended June 30, 2024 and 2023

(all amounts are in EUR thousands unless otherwise stated)

	Note	Share capital	Share premium	Other reserves			Retained earnings	Total equity
				Legal reserves	Share-based payment reserve	Warrant reserve		
Balance - January 1, 2023		310	352,399	6,254	124,723	25,575	1,906,795	2,416,056
Net income for the period							282,173	282,173
Currency translation adjustments				3,192				3,192
Total comprehensive income for the period		—	—	3,192	—	—	282,173	285,365
<i>Adjustments:</i>								
Intangible assets				1,396			(1,396)	—
Other adjustments					6		(1,814)	(1,808)
		—	—	1,396	6	—	(3,210)	(1,808)
<i>Transactions with owners in their capacity as owners:</i>								
Deferred tax on share-based compensation	6		13,282		(11,946)			1,336
Options exercised			433		(433)			—
Proceeds on issuing shares	7	—	6,661					6,661
Share-based payments	3.2		2,217		3,783			6,000
Reclassification of share-based payment plan	3.2				20,424			20,424
		—	22,593	—	11,828	—	—	34,421
Balance - June 30, 2023		310	374,992	10,842	136,557	25,575	2,185,758	2,734,034

	Note	Share capital	Share premium	Other reserves			Retained earnings	Total equity
				Legal reserves	Share-based payment reserve	Warrant reserve		
Balance - January 1, 2024		310	390,043	7,761	125,896	25,575	2,601,282	3,150,867
Net income for the period							409,614	409,614
Currency translation adjustments				(3,326)				(3,326)
Total comprehensive income for the period		—	—	(3,326)	—	—	409,614	406,288
<i>Adjustments:</i>								
Intangible assets				(39)			39	—
Other adjustments			444	262	(3,690)		(5,587)	(8,571)
		—	444	223	(3,690)	—	(5,548)	(8,571)
<i>Transactions with owners in their capacity as owners:</i>								
Deferred tax on share-based compensation	6		5,543		(3,863)			1,680
Options exercised			—		—			—
Proceeds on issuing shares	7	—	7,549					7,549
Share-based payments	3.2	1	14,344		3,619			17,964
		1	27,436	—	(244)	—	—	27,193
Balance - June 30, 2024		311	417,923	4,658	121,962	25,575	3,005,348	3,575,777

The accompanying notes are an integral part of these condensed consolidated financial statements.

Consolidated statement of cash flows

For the periods ended June 30, 2024 and 2023 (all amounts are in EUR thousands unless otherwise stated)

	Note	H1 2024	H1 2023
Income before income taxes		541,571	373,018
<i>Adjustments for:</i>			
– Interest income	1	(13,159)	—
– Interest expense	1	10,630	—
– Finance income	9	(176,846)	(93,408)
– Finance expenses		3,256	2,291
– Other financial results	5	5,899	(2,808)
– Other income/(expense)	11	—	840
– Depreciation of plant and equipment	11	25,624	22,187
– Amortization of intangible fixed assets		1,589	1,789
– Depreciation of right-of-use assets	12	22,030	16,948
– Equity-settled share-based compensation	3.2	17,964	6,000
– Cash-settled share-based payment plan		60	4,638
<i>Changes in working capital:</i>			
– Inventories	2	17,331	(32,438)
– Trade and other receivables		(15,128)	(30,875)
– Receivables from merchants and financial institutions		(59,738)	(53,371)
– Payables to merchants and financial institutions		53,585	(308,444)
– Trade and other payables		17,848	11,962
– Amortization and additions of contract assets	1.3	10,841	10,874
<i>Cash generated from/(used in) operations</i>		<i>463,357</i>	<i>(70,797)</i>
Interest income received	1	13,159	—
Interest expense paid	1	(10,630)	—
Finance income received	9	176,846	93,408
Finance expense paid		(3,256)	(2,291)
Income taxes paid	6	(129,958)	(71,687)
Net cash flows from operating activities		509,518	(51,367)
Purchases of other financial assets at amortized cost	10	(19,146)	—
Purchases of plant and equipment	11	(40,790)	(52,960)
Capitalization of intangible assets		(1,500)	(3,135)
Net cash used in investing activities		(61,436)	(56,095)
Proceeds from issues of shares	7	7,549	6,661
Lease payments	12	(20,222)	(16,247)
Net cash flows used in financing activities		(12,673)	(9,586)
Net increase in cash, cash equivalents and bank overdrafts		435,409	(117,048)
Cash, cash equivalents and bank overdrafts at beginning of the period		8,306,982	6,522,345
Exchange gains / (losses) on cash, cash equivalents and bank overdrafts	5	(7,119)	6,327
Cash, cash equivalents and bank overdrafts at end of the period		8,735,272	6,411,624

The accompanying notes are an integral part of these condensed consolidated financial statements.

Notes to the interim condensed consolidated financial statements

General information

Adyen N.V. (hereinafter 'Adyen', or 'the Company') is a licensed Credit Institution by De Nederlandsche Bank (the Dutch Central Bank) and registered in the Netherlands under the company number 34259528. The Credit Institution license includes the ability to provide cross-border services in the European Economic Area. Additionally, Adyen provides services in the United States through its US Federal Foreign Branch licence, and in the United Kingdom through its license to operate as a third country branch, by the Prudential Regulatory Authority (PRA) and Financial Conduct Authority (FCA). Adyen N.V. directly or indirectly owns 100% of the shares of its subsidiaries, and therefore controls all entities included in these interim condensed consolidated financial statements. Adyen shares are traded on Euronext Amsterdam, where the Company is part of the AEX Index and has a credit rating of A-, per S&P rating agency.

All amounts in the notes to the interim condensed consolidated financial statements are stated in thousands of EUR, unless otherwise stated.

Basis of preparation

The interim condensed consolidated financial statements for the period January 1, 2024 to June 30, 2024 have been prepared on a going concern basis and in accordance with IAS 34 — *Interim Financial Reporting*. The interim condensed consolidated financial statements do not include all the information and disclosures required in the Adyen annual consolidated financial statements and should, therefore, be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2023.

The following periods have been presented for the interim condensed consolidated financial statements ended June 30, 2024:

Interim condensed consolidated financial statements	Current period	Comparative period
Statement of comprehensive income	January 1 - June 30, 2024	January 1 - June 30, 2023
Balance sheet	As at June 30, 2024	As at December 31, 2023
Statement of changes in equity	January 1 - June 30, 2024	January 1 - June 30, 2023
Statement of cash flows	January 1 - June 30, 2024	January 1 - June 30, 2023

Relevant accounting policies

Significant and other accounting policies that summarize the measurement basis used, and are relevant to understanding the financial statements, are provided in the annual consolidated financial statements for the year ended December 31, 2023. Any significant accounting policy changes during the first six months of 2024 are reflected throughout the notes to these interim condensed consolidated financial statements.

Significant accounting estimates or judgements

A number of accounting policies involve a higher degree of judgement or complexity, which are more likely to be materially impacted when revised or refined. The significant accounting estimates or judgments are explained in note 1.2 in the Adyen annual consolidated financial statements for the year ended December 31, 2023. The areas involving significant estimates or judgments are:

- Principal versus agent for revenue out of settlement fees – refer to note 1 'Revenue and segment reporting'.
- Realization of deferred taxes related to share-based compensation – refer to note 6 'Income taxes'.

New standards adopted by Adyen

The accounting policies and methods of computation adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Adyen annual consolidated financial statements for the year ended December 31, 2023.

Adyen has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. A number of new or amended standards became applicable for the current reporting period. Adyen did not change its accounting policies or make retrospective adjustments as a result of new accounting standards made applicable on January 1, 2024.

The qualitative impact assessment of the first-time application on January 1, 2024 of new amendments is disclosed in note 16 'New and amended standards adopted by Adyen'.

Key disclosures

1. Revenue and segment reporting

Net revenue

The Management Board monitors net revenue as a performance indicator. Adyen considers net revenue to provide additional insight to its users to evaluate the nature and financial effects of the business activities in which it engages and the economic environments in which it operates. Net revenue consists of net non-interest revenue and net interest income. Net revenue is a non-IFRS measure – refer to note 1.2 for further explanation on the non-IFRS measures reported by Adyen.

Net revenue (in EUR'000)	H1 2024	H1 2023
Net non-interest revenue	910,851	739,107
Net interest income	2,529	—
Net revenue	913,380	739,107

Net non-interest revenue

The company derives non-interest revenue from settling and processing payments, sales of goods such as the sale of point-of-sale (POS) terminals, and other payment specific services. Adyen incurs fees charged by third parties that provide services to enable Adyen's payment processing and acquiring services to merchants, that do not form part of the pass-through settlement fees, which are presented as 'costs incurred from financial institutions'. The non-interest revenue and costs are classified under 'net non-interest revenue'.

The breakdown of the composition of net non-interest revenue, detailing revenue from contracts with customers per type of goods or service is as follows:

Types of goods or services (in EUR'000)	H1 2024	H1 2023
Settlement fees	594,003	485,582
Processing fees	263,718	209,633
Sales of goods	51,351	41,178
Other services	120,018	117,157
Non-interest revenue	1,029,090	853,550
Costs incurred from financial institutions	(68,843)	(74,409)
Costs of goods sold	(49,396)	(40,034)
Net non-interest revenue	910,851	739,107

The breakdown of revenue from contracts with customers based on timing is as follows:

Timing of revenue recognition (in EUR '000)	H1 2024	H1 2023
Goods and services transferred at a point in time	1,020,656	846,393
Services transferred over time	8,434	7,157
Total revenue from contracts with customers	1,029,090	853,550

Net interest income

Adyen's newly-introduced financial product offering includes Accounts, in the form of merchant-related funds held in business accounts, and Capital, in the form of loans and advances. Adyen earns interest income on funds held in Accounts and Capital loans and advances issued. Simultaneously, Adyen incurs interest expense related to the deposited funds held in the Accounts. Adyen also includes interest income earned on sale of terminals with a financing agreements as part of net interest income. For the current period, net interest income mainly comprises of net interest earned on Accounts. Adyen presents net interest income as part of net revenue, as it is earned through the Company's revenue generating activities.

Interest earned on cash balances outside of aforementioned products, are not classified within net interest income but form part of net finance income. Refer to note 9 'Cash and cash equivalents'.

1.1 Segment reporting

The following table summarizes Adyen's geographical breakdown of its revenue from contracts with customers, based on the billing location as requested by the merchant for the periods indicated.

Revenue from contract with customers - Geographical breakdown (in EUR '000)	H1 2024	H1 2023
Europe, the Middle East, and Africa (EMEA)	587,598	482,133
North America	274,825	216,530
Asia-Pacific	109,025	97,294
Latin America	57,642	57,593
Total revenue from contracts with customers	1,029,090	853,550

1.2 Non-IFRS financial measures

Non-IFRS financial measures are disclosed in addition to the statement of comprehensive income, in order to provide relevant information to better understand the underlying business performance of the Company. Furthermore, Adyen has provided guidance on several of these non-IFRS measures as described in the 'Financial objectives' section. Adyen reports on the following additional financial measures that are directly derived from the statement of comprehensive income or statement of cash flows:

- **Net revenue:** Net non-interest revenue ("Non-interest revenue" less "Costs incurred from financial institutions" and "Costs of goods sold") and Net interest income on the consolidated statement of comprehensive income;

The geographical breakdown of net revenue and related year-on-year growth is as follows (based on the billing location as requested by the merchant for the periods indicated).

Net revenue - Geographical breakdown and year-on-year growth (in EUR '000)	H1 2024	YoY%	H1 2023	YoY%
Europe, the Middle East, and Africa (EMEA)	521,577	25 %	417,279	20 %
North America	243,888	30 %	187,452	23 %
Asia-Pacific	96,762	15 %	84,307	31 %
Latin America	51,153	2 %	50,069	13 %
Total net revenue	913,380	24 %	739,107	21 %

- **EBITDA:** "Income before net finance income and income taxes" less "Amortization and depreciation" on the consolidated statement of comprehensive income;
- **EBITDA margin:** EBITDA as a percentage of "Net revenue" on the consolidated statement of comprehensive income;

- **CapEx:** Capital expenditures consisting of the line items "Purchases of plant and equipment" and "Capitalization of intangible assets" on the consolidated statement of cash flows;
- **Free cash flow:** EBITDA less CapEx and "Lease payments" on the consolidated statement of cash flows; and
- **Free cash flow conversion ratio:** free cash flow as a percentage of EBITDA.

Selected non-IFRS financial measures (in EUR '000)	H1 2024	H1 2023
Income before net finance income and income taxes	373,880	279,093
Amortization and depreciation	49,243	40,924
EBITDA	423,123	320,017
Net revenue	913,380	739,107
EBITDA margin (%)	46 %	43 %
Purchases of plant and equipment	40,790	52,960
Capitalization of intangible assets	1,500	3,135
CapEx	42,290	56,095
EBITDA	423,123	320,017
CapEx	(42,290)	(56,095)
Lease payments	(20,222)	(16,247)
Free cash flow	360,611	247,675
Free cash flow	360,611	247,675
EBITDA	423,123	320,017
Free cash flow conversion ratio (%)	85 %	77%

1.3 Contract assets

Adyen capitalizes contract costs relating to multi-year service contracts with its merchants. These costs mainly relate to integration and development fees that are directly incremental to obtain the multi-year contracts and do not represent a separate performance obligation. Adyen will amortize these costs against revenue (settlement fees) on a pro rata basis as the related revenue is recognized.

In 2018, Adyen entered into a long-term contract with eBay for the provision of payment services that resulted in the initial recognition of contract assets settled with a cash advance (monetary component) and issue of warrants (non-monetary component) over Adyen's shares. The monetary component was fully repaid and amortized in 2022. Refer to note 10 'Financial instruments' for more information on the warrants (derivative liabilities).

The following table summarizes the movement in the contract assets balance:

Contract assets (in EUR '000)	Non-monetary component*	Other contract assets	Total contract assets
Balance - 1 January, 2023	41,664	6,948	48,612
<i>Movements:</i>			
Additions	—	—	—
Amortization for the period	(9,651)	(1,223)	(10,874)
Exchange differences		(25)	(25)
Balance - June 30, 2023	32,013	5,700	37,713
 Balance - January 1, 2024	 19,729	 4,466	 24,195
<i>Movements:</i>			
Additions	—	1,062	1,062
Amortization for the period	(10,436)	(1,467)	(11,903)
Exchange differences	—	(76)	(76)
Balance - June 30, 2024	9,293	3,985	13,278

* The non-monetary component relates to the long-term eBay contract.

2. Inventories

Inventories (in EUR '000)	H1 2024	H1 2023
Balance - January 1	104,502	87,891
Purchases during the period (products for resale)	33,562	79,274
Costs of goods sold	(49,396)	(40,034)
Expense recognized in other expenses	(1,497)	(6,802)
Balance - June 30	87,171	120,329

3. Employee benefit expense

3.1 Employee benefits

The breakdown of FTE per office as at June 30, 2024 and 2023 is as follows:

FTE per office	June 30, 2024	June 30, 2023
Amsterdam	2,295	2,240
San Francisco	295	296
New York	198	163
Chicago	188	96
São Paulo	164	164
Singapore	159	156
Madrid	138	86
London	134	136
Berlin	97	79
Paris	96	82
Other	469	385
Total	4,233	3,883

The employee benefits expense can be specified as follows:

Employee benefits (in EUR '000)	H1 2024	H1 2023
Salaries and wages	279,258	227,497
Share-based compensation	19,223	19,813
Total wages and salaries	298,481	247,310
Social securities	40,212	32,159
Pension costs - defined contribution plans	8,800	6,479
Total social securities and pension costs	49,012	38,638

3.2 Share-based payments

The share-based compensation expense can be specified as follows:

Share-based compensation (in EUR '000)	H1 2024	H1 2023
Equity-settled	17,964	6,000
Cash-settled	1,259	13,813
Total share-based compensation	19,223	19,813

Adyen considers its employees and culture as core to its growth. As part of the total remuneration package, Adyen has four types of compensation plans:

- I. Equity-settled option plan (granted until 2018);
- II. Cash-settled share-based payment plan (granted from 2018 to May 2023);
- III. Fixed Salary shares plan (granted from December 2023 onwards, replacing the Depositary receipts award plan) - presented in salaries and wages; and
- IV. Equity-settled Restricted Stock Unit ("RSU") Awards Plan (granted from May 2023 onwards).

Cash-settled share based payment plan

The change in cash-settled share-based compensation expense in H1 2024, was mainly linked to the introduction of the RSU awards plan (equity-settled payment) as a replacement plan. Adyen's share price has not substantially changed over the period, keeping the cash-settled expense per share relatively stable.

The nature, accounting policies and key parameters of the equity and cash-settled option plans are described in more detail in the 2023 annual consolidated financial statements.

Depository receipts award plan and Fixed Salary shares plan

From December 2023 Adyen has introduced the Fixed Salary shares plan which replaces and supersedes the Depository receipts awards plan, and grants the possibility to purchase Adyen N.V. ordinary shares at fair market value to directors and to employees as part of their remuneration. The related employee benefits expense for H1 2024 amounted to EUR 7,786 (2023: EUR 6,957) and is presented in wages and salaries. The fair value of the liability recognized resulting from the plan is EUR 789 (2023: EUR 629), and the plan resulted in a total increase in H1 2024 of EUR 6,408 (2023: 5,573) recognized in share capital and share premium during the period. There is a lock-up period but no vesting condition attached to the Fixed Salary shares plan.

Restricted Stock Unit Awards plan

Adyen introduced the equity-settled RSU Awards Plan from 2023 onwards, which replaced the cash-settled share-based payment plan for new joiners. The RSU plan resulted in a reclassification of EUR 20,424 from cash-settled share-based payment plan liability to share-based payment reserve, recognized in H1 2023. The related expense for H1 2024 amounted to EUR 17,964 (2023: EUR 6,000) and is presented in wages and salaries.

4. Other operating expenses

The other operating expenses can be specified as follows:

Other operating expenses (in EUR '000)	H1 2024	H1 2023
Travel and other staff expenses	30,476	28,462
Sales and marketing costs	29,005	27,379
IT costs	22,449	18,810
Advisory costs	12,883	12,289
Housing costs	10,946	7,596
1% for the UN SDGs	9,134	7,391
Office costs	5,976	4,116
Contractor costs	5,432	8,525
Miscellaneous operating expenses	15,302	11,508
Total other operating expenses	141,603	126,076

Housing and office costs increased compared to H1 2023 in line with Adyen's office expansion plan. In addition, the increase in IT costs is mostly driven by operational expenses related to our data centers.

5. Other financial results

The other financial results can be specified as follows:

Other financial results (in EUR '000)	H1 2024	H1 2023
Exchange gains/(losses)	(5,910)	5,468
Fair value re-measurement of financial instruments:		
Derivative liabilities	(24)	(4,537)
Other financial assets at FVPL	35	1,877
Total other financial results	(5,899)	2,808

Exchange losses during the first six months of 2024 mainly relate to exchange losses from Adyen's foreign denominated cash balances.

6. Income taxes

6.1 Income tax expense

The tax on Adyen's income before income taxes differs from the amount that would arise using the statutory tax rate in the Netherlands. The effective tax rate of Adyen for the six months ended June 30, 2024 is 24.37% (June 30, 2023: 24.35%) which differs from the statutory tax rate in the Netherlands of 25.80%. This is due to the application of the innovation box and the tax rate differences on foreign operation, which was partially offset by the other adjustments (such as prior year and non-deductible expenses). The innovation box is a Dutch tax incentive whereby a portion of qualifying taxable profits derived from innovative activities are taxed at a lower rate than the headline corporate tax rate in the Netherlands.

Effective tax calculation (in EUR '000)	H1 2024	H1 2023
Income before income taxes	541,571	373,018
Statutory tax rate in the Netherlands (%)	25.80%	25.80%
Income taxes based on statutory tax rate in the Netherlands	139,725	96,239
Tax effects of:		
Innovation box	(13,548)	(13,049)
Tax rate differences on foreign operations	(1,730)	2,075
Other adjustments (such as prior period and non-deductible amounts)	7,510	5,580
Effective tax amount	131,957	90,845

Current income tax receivables/(payables) (in EUR '000)	June 30, 2024	December 31, 2023
Current income tax receivables	9,098	7,310
Current income tax payables	(55,449)	(63,063)

Income tax expense in the statement of comprehensive income can be specified as follows:

Income taxes (in EUR '000)	H1 2024	H1 2023
Current income tax expense	131,312	96,000
Deferred income tax expense/(income)	645	(5,155)
Total income taxes	131,957	90,845

6.2 Deferred income taxes

Deferred tax assets

Deferred tax assets that rely on future profitability

Deferred tax assets include tax losses carried forward relating to options exercised in the United States at a Federal and State level (June 30, 2024: EUR 82,183; December 31, 2023: EUR 85,910) and windfall benefits relating to options granted and vested, however not yet exercised (June 30, 2024: EUR 2,583; December 31, 2023: EUR 2,519). During the six months ended June 30, 2024 EUR 5,543 of the tax losses carried forward was utilized and recognized in the share premium reserve (June 30, 2023: EUR 13,282).

Throughout the period Adyen has reassessed the recoverability of deferred tax assets on windfall benefits linked to the share-based compensation plan in the United States. Adyen continues to recognize deferred tax assets that will be realized against future profits, on a going concern basis.

The United States Federal Tax windfall benefit continues to be recognized as these carry forward losses have no expiration date. The State level net operating losses continue to be recognized as these carry forward losses are expected to be utilized against future taxable income before their expiration date.

The movement in deferred tax assets relating to windfall benefits and carry forward losses was recognized directly in equity.

Deferred tax liabilities

The deferred tax liabilities consist mainly of the deferred tax on the non-monetary part of the contract asset of EUR 2,007 (December 31, 2023: EUR 5,090).

The deferred taxes are presented as non-current on the balance sheet.

Capital management and financial instruments

7. Capital management

Adyen's objective in capital management is to safeguard its ability to continue as a going concern. Furthermore, Adyen ensures that it consistently meets regulatory capital requirements.

Capital management (in EUR '000)	June 30, 2024	December 31, 2023
Share capital	311	310
Share premium	417,923	390,043
Total	418,234	390,353

During the six months ended June 30, 2024, 23,454⁶ (June 30, 2023: 24,447) additional shares were issued. The additional issued shares were a result of exercises of options and vesting of shares granted to employees. The number of outstanding ordinary shares as of June 30, 2024 is 31,056,552 (December 31, 2023: 31,033,098) with an absolute nominal value of EUR 0.01 per share. The total number of authorized shares as of June 30, 2024 is 80,000,000 (December 31, 2023: 80,000,000).

The following reserves are classified as non-distributable: legal reserves (in accordance with Dutch Law), share-based payment reserve, warrant reserve, and total comprehensive income for the current period. The legal reserves restricted for distribution in accordance with Dutch Law as at June 30, 2024 amounts to EUR 19,918 (December 31, 2023: EUR 22,582). The total of distributable reserves as at June 30, 2024 amounts to EUR 2,998,446 (December 31, 2023: EUR 2,293,313).

Net income is added to retained earnings reserve and the current dividend policy is to not pay dividends, as retained earnings are used to support and finance the growth strategy.

8. CRR/CRD IV Regulatory Capital

The following table shows the calculation of regulatory capital as at June 30, 2024. The regulatory capital is based on the CRR/CRD IV scope of consolidation, which is the same as the IFRS scope of consolidation as included in the annual consolidated financial statements.

Own funds (in EUR '000)	June 30, 2024	December 31, 2023
EU-IFRS equity as reported in consolidated balance sheet	3,575,777	3,150,867
Net profit not included in CET1 capital (not yet eligible)	(409,614)	(416,149)
<i>Regulatory adjustments:</i>		
Warrant reserve	(25,575)	(25,575)
Intangible assets	(8,667)	(8,757)
Deferred tax assets that rely on future profitability	(84,900)	(90,985)
Prudent valuation	(17)	(16)
Total own funds	3,047,004	2,609,385

The increase in total own funds in H1 2024 mainly relates to the additions of consolidated net profit (H2 2023).

⁶ Amounts in this paragraph are not rounded to the nearest thousand, unless indicated in EUR.

9. Cash and cash equivalents

Cash and cash equivalents (in EUR '000)	June 30, 2024	December 31, 2023
Cash held at central banks	6,402,979	5,863,231
Cash held at banks, other than central banks	2,332,293	2,443,751
Total	8,735,272	8,306,982

Cash and cash equivalents consists of "Cash held at central banks" and "Cash held at banks, other than central banks", including merchant-related funds held with Adyen (Accounts). Interest earned on business accounts held with Adyen, and the related interest expense, is recognized using the effective interest rate method and presented as net interest income and thus excluded from net finance income.

The "Cash held at central banks" and "Cash held at banks, other than central banks" excluding funds deposited with Adyen, earned interest in the amount of EUR 131,250 and EUR 45,596 (during the first six month of the 2023: EUR 74,474 and EUR 18,712) respectively during the period, which was recognized in finance income. The increase is driven by a relatively higher interest rate environment and an increase in average overnight deposits held at "Cash held at central banks" and "Cash held at banks, other than central banks" compared to H1 2023.

Of the "Cash held at banks, other than central banks", EUR 106,339 (December 31, 2023: EUR 88,860) is restricted and is therefore not available for general use by the Company. The restricted cash mainly relates to deposits required under the US Federal Foreign Branch license, as well as deposits held as guarantee for leased offices. The restricted cash is readily convertible and therefore classified as cash and cash equivalents.

10. Financial instruments

Other financial assets at fair value through profit or loss ('FVPL') (Visa Inc. preferred shares)

Adyen has recognized and classified the convertible ('Series C') preferred Visa Inc. shares within the FVPL category. The balance of other financial assets at FVPL as per June 30, 2024 is EUR 15,260 (December 31, 2023: EUR 14,821). The fair value of the level 2 preferred shares in Visa Inc. is based on the quoted price of Visa Inc. common shares, adjusted for lack of marketability, multiplied by an initial conversion rate of preferred shares into common shares. The conversion rate may fluctuate in the future. The adjustment for lack of marketability is determined using an option pricing model technique which relies on observable market data of the underlying Visa Inc. common shares, as well as a presumed length of holding period restriction on the preferred shares.

Financial assets impairment

During the six months ended June 30, 2024, Adyen deducted EUR 655 (H1 2023: added EUR 839) from (to) its trade receivable loss allowance based on the calculations from its IFRS 9 expected credit loss model for trade receivables. The expected credit loss model which was updated in December 31, 2023 still reflects reasonable and supportable information available on credit risk of the trade receivables balance. During the six months ended June 30, 2024, Adyen wrote off trade receivables balances for an amount of EUR 2,660 (H1 2023: EUR 2,572). Adyen did not reverse any impairment losses in the first six months of 2024 and 2023.

Derivative liabilities (warrants)

As part of the long-term merchant contract previously mentioned (note 1.3), Adyen recognized derivative liabilities measured at fair value through profit or loss, classified as a level 2 fair value instrument. Fair value remeasurements are presented in other financial results (note 5).

The warrants vest in four tranches, each linked to a milestone of processed payments volume. Each milestone is deemed achieved at the moment that the processed merchant volume exceeds the milestone amount in a single calendar year following the Issue date (January 31, 2018). Only two warrant tranches may vest in a single calendar year, and upon vesting, each entitles the warrant holder to acquire 1.25% of Adyen's issue-date diluted share volume at any time prior to the warrant expiration date (January 31, 2025).

During 2024, no eBay tranche milestones were met, or vested, and no related warrants were exercised during the first six months. The derivative liabilities balance as per June 30, 2024 is EUR 1,424 (December 31, 2023: EUR 1,400).

Other financial assets at amortized cost

Adyen is required to hold government bonds or cash at the Brazil central bank, for merchant payables on products where it holds virtual accounts, for regulatory purposes relating to its Brazilian acquiring license. Adyen has invested in Brazilian Government Bonds (maturing in March 2025) to cover this regulatory requirement. Adyen's intention is to hold each instrument until maturity and Adyen, therefore, applies a hold-to-collect business model. The other financial assets at amortized cost balance as per June 30, 2024 is EUR 19,667 (December 31, 2023: EUR 0).

Other disclosures

11. Plant and equipment

Plant and equipment (in EUR'000)	Computer Hardware and Software	Leasehold Improvements	Other	Total
H1 2023				
Cost	178,707	31,774	5,244	215,725
Accumulated depreciation	(61,940)	(10,546)	(2,443)	(74,929)
Balance - January 1, 2023	116,767	21,228	2,801	140,796
Additions	49,976	2,382	602	52,960
Disposals	(840)	—	—	(840)
Depreciation for the period	(18,771)	(2,998)	(418)	(22,187)
Other changes (e.g. exchange differences)	(307)	76	4	(227)
Balance - 30 June, 2023	146,825	20,688	2,989	170,502
Cost	224,695	34,233	5,841	264,769
Accumulated depreciation	(77,870)	(13,545)	(2,852)	(94,267)
Balance - 30 June, 2023	146,825	20,688	2,989	170,502
H1 2024				
Cost	216,513	36,064	12,745	265,322
Accumulated depreciation	(80,714)	(16,209)	(3,263)	(100,186)
Balance - January 1, 2024	135,799	19,855	9,482	165,136
Additions	34,830	3,582	2,378	40,790
Disposals	—	—	—	—
Depreciation for the period	(21,745)	(3,121)	(758)	(25,624)
Other changes (e.g. exchange differences)	556	(69)	(635)	(148)
Balance - 30 June, 2024	149,440	20,247	10,467	180,154
Cost	252,250	39,520	14,484	306,254
Accumulated depreciation	(102,810)	(19,273)	(4,017)	(126,100)
Balance - 30 June, 2024	149,440	20,247	10,467	180,154

Computer Hardware and Software additions during the six months ended June 30, 2024 mainly relate to servers for data centers and equipment such as laptops for employees. Adyen did not recognize an impairment loss or reverse any impairment loss on plant and equipment during the six months ended June 30, 2024 and 2023.

12. Leases

Adyen's leases relate to offices and data centers across locations where it operates.

Right-of-use assets (in EUR '000)	H1 2024	H1 2023
Offices and data centers		
Cost	299,080	249,760
Accumulated depreciation	(99,417)	(68,084)
Balance - January 1	199,663	181,676
Additions	28,689	21,098
Depreciation for the period	(22,030)	(16,948)
Other movements (e.g. exchange differences)	563	(621)
Balance - June 30	206,885	185,205
Recognized right-of-use asset	328,462	269,756
Accumulated depreciation	(121,577)	(84,551)
Balance - June 30	206,885	185,205
Lease liability (in EUR '000)	H1 2024	H1 2023
Balance - January 1	223,063	203,073
Additions	28,689	21,098
Lease instalments	(22,972)	(18,492)
Interest expense	2,750	2,245
Other movements (e.g. exchange differences)	119	(803)
Balance - June 30	231,649	207,121
Current portion	51,881	42,609
Non-current portion	179,768	164,512

13. Share information

Adyen presents basic and diluted earnings per share (EPS) data for its ordinary shares. The calculation of earnings per share is as follows:

- 1) Basic EPS: dividing the net income attributable to owners of Adyen N.V. by the weighted average number of ordinary shares outstanding during the period.
- 2) Diluted EPS: determined by adjusting the basic EPS for the effects of all dilutive potential ordinary shares, which in the case of Adyen relates to share options and RSUs granted to employees.

Share information	H1 2024	H1 2023
Net income attributable to owners of Adyen N.V. (in EUR '000)	409,614	282,173
Weighted average number of ordinary shares for the period	31,047,697	31,001,282
Dilutive effect of share plans	106,136	111,082
Weighted average number of ordinary shares for diluted net profit for the period	31,153,833	31,112,364
Net profit per share – basic	13.19	9.10
Net profit per share – diluted	13.15	9.07

14. Related party transactions

During 2024, Adyen identified related party transactions with Stichting Administratiekantoor Adyen (STAK), employees and Supervisory Directors. The transactions with employees and STAK are related to option exercises, and the transactions with the Supervisory Board relate to services rendered throughout the period. The respective outstanding balances as at June 30, 2024 and December 31, 2023 are:

Related party assets/ (liabilities)	June 30, 2024	December 31, 2023
Supervisory Board	(28)	(19)
Employees (STAK)	16,836	16,562

There were no other transactions with related parties during the period ended June 30, 2024 and 2023.

15. Other contingent assets, liabilities and commitments

Adyen N.V. and Adyen International B.V. are included in a fiscal unity for corporate income tax purposes. Under the Dutch Tax Collection Act, the members of the fiscal unity are jointly and severally liable for any taxes payable by the fiscal unity.

Adyen has EUR 112,710 of outstanding bank guarantees and letters of credit as at June 30, 2024 (December 31, 2023: 50,678).

16. New and amended standards adopted by Adyen

The following accounting standards, interpretations and amendments applicable to Adyen (collectively, "amendments") were issued and made effective for the annual reporting period beginning on January 1, 2024:

- Amendments to IAS 1- Classification of Liabilities as Current or Non current;
- Amendments to IFRS 16 - Leases on sale and leaseback;
- Amendments to IAS 1 - Non-current liabilities with covenants.

Adyen has taken into consideration the changes of each one of the above-mentioned amendments, and concluded that the amendments do not have a material impact on the financial statements.

17. Events after the balance sheet date

There are no events after the reporting period.

18. Other information

The interim condensed consolidated financial statements for the period January 1, 2024 to June 30, 2024 have been prepared in line with IAS 34-Interim Financial Reporting.

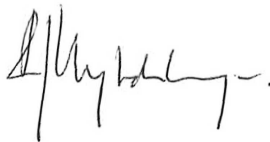
The interim condensed consolidated financial statements are unaudited.

Amsterdam, August 15, 2024



P.W. van der Does

Co-founder and Co-CEO



I.J. Uytdehaage

Co-CEO



E.L. Tandowsky

CFO

Statement by the Management Board

As is required by section 5.25d of the Dutch Financial Supervision Act (Wet op het financieel toezicht) we state that according to the best of our knowledge:

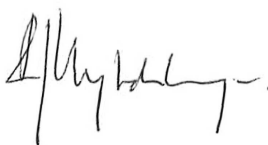
1. The interim condensed consolidated financial statements present a true and fair view of the consolidated assets, liabilities, financial position and the profit or loss of Adyen N.V.; and
2. The interim consolidated financial statements provide a true and fair view of the information required pursuant to article 5.25d paragraph 8 and 9 of the Dutch Financial Supervision Act (Wet op het financieel toezicht).

Amsterdam, August 15, 2024



P.W. van der Does

Co-founder and Co-CEO



I.J. Uytdehaage

Co-CEO



E.L. Tandowsky

CFO



Review report

To: the management board and the supervisory board of Adyen N.V.

Introduction

We have reviewed the accompanying Interim Condensed Consolidated Financial Statements ('interim financial information') for the six-month period ended 30 June 2024 of Adyen N.V., Amsterdam, which comprises the consolidated balance sheet as at 30 June 2024, the consolidated statement of comprehensive income, the consolidated statement of changes in equity, the consolidated statement of cash flows for the period then ended and the selected explanatory notes. The management board is responsible for the preparation and presentation of this (condensed) interim financial information in accordance with IAS 34, 'Interim Financial Reporting' as adopted by the European Union. Our responsibility is to express a conclusion on this interim financial information based on our review.

Scope

We conducted our review in accordance with Dutch law including standard 2410, Review of Interim Financial Information Performed by the Independent Auditor of the entity. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with auditing standards and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial information for the six-month period ended 30 June 2024 is not prepared, in all material respects, in accordance with IAS 34, 'Interim Financial Reporting' as adopted by the European Union.

Amsterdam, 15 August 2024
PricewaterhouseCoopers Accountants N.V.

Original has been signed by M.D. Jansen RA

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